LOUISIANA PUBLIC SERVICE COMMISSION

ORDER NUMBER U-36516-A

SOUTHWEST LOUISIANA ELECTRIC MEMBERSHIP CORPORATION, NEXTERA ENERGY MARKETING, LLC, AND BEAUREGARD SOLAR, LLC.

Docket No. U-36516, In re: Joint application for approval of long-term power supply agreements.

(Decided at the December 13, 2023 Business and Executive Session.)

ORDER

BACKGROUND

In Order No. U-36516, dated November 7, 2023, this Commission approved a ten-year full requirements power supply agreement between Southwest Electric Membership Corporation ("SLEMCO") and NextEra Energy Marketing, LLC., ("NEM") ("Full Requirements PSA") and a twenty-five year solar power purchase agreement ("Beauregard Solar PPA") with Beauregard Solar, LLC ("Beauregard Solar") intended to supply the majority of the capacity and energy requirements of SLEMCO following the expiration of SLEMCO's current power supply contract on March 31, 2025.

After the issuance of that Order, Joint Applicants SLEMCO, NEM and Beauregard Solar filed, on December 5, 2023, a "Joint Motion for Consideration of Uncontested Stipulated Settlement by the Commission Pursuant to Rule 57" ("Joint Motion") seeking approval of the "Joint Applicants' Supplemental Filing of First Amended Beauregard Solar PPA" which attached the "Amendment No. 1 to Renewable Product Purchase Agreement" ("First Amendment") executed on November 29, 2023, to amend some of terms of the Beauregard Solar PPA. The Joint Motion was accompanied by the sworn testimonies of Mr. James Laque, Director of Engineering and Strategic Planning of SLEMCO and Mr. Christopher Cothran, the director of Renewable Development at NextEra Energy Resources, LLC., ("NEER") and an "Uncontested Stipulated Settlement" ("Stipulated Settlement") entered in to by the Joint Applicants and the Louisiana Commission Staff ("Staff"). The Full Requirements PSA previously certified by the Commission was not affected by this motion and remains in place as previously approved. The Stipulated Settlement was supported or not opposed by all parties to the proceeding, and subject to the approval of this Commission, would resolve all issues presented in the Joint Motion.

COMMISION AUTHORITY

The Commission exercises jurisdiction over public utilities in Louisiana pursuant to Article IV, Section 21(B) of the Louisiana Constitution, which provides the following:

> The commission shall regulate all common carriers and public utilities and have such other regulatory authority as provided by law. It shall adopt and enforce reasonable rules, regulations, and procedures necessary for the discharge of its duties, and shall have other powers and perform other duties as provided by law.

STIPULATED SETTLEMENT

Since the Beauregard Solar PPA was initially executed on July 6, 2022, solar panel prices have significantly increased, coupled with a shortage in panel supplies. A Department of Commerce investigation into the import practices of solar panel providers, and general global inflationary pressures experienced in 2022 have persisted to the present. Labor and material costs rose unexpectedly making long-term construction and operation of the Beauregard Solar project more expensive than originally expected. In light of the aforementioned changes in market conditions, it was impractical, if not impossible, for the parties to proceed under the original terms of the Beauregard Solar PPA. SLEMCO sought to preserve the Beauregard Solar PPA and its significant substantial economic benefits, and the Joint Applicants negotiated and agreed to the First Amendment, which was allowed under the terms of the original Beauregard Solar PPA.

The Stipulated Settlement recommended that the Commission accept the price increases and amended terms provided by the First Amendment as in the public interest, and it does not alter the Full Requirements PSA or the Beauregard Solar PPA other than as specifically provided in the First Amendment. It requires that SLEMCO members receive 100 percent of any Rural Utilities Services ("RUS") administered grants received by SLEMCO based upon the Beauregard Solar Facility, and it requires that all terms and conditions imposed by the Commission in Order No. U-36516 remain in place, except as specifically modified by this Order.

COMMISION CONSIDERATION

This matter was considered at the Commission's December 13, 2023 Business and Executive Session. On motion of Commissioner Greene, seconded by Chairman Campbell, and unanimously adopted, the Commission voted to assert its original and primary jurisdiction and take the matter up pursuant to Rule 57.

On motion of Commissioner Greene, seconded by Commissioner Lewis, with Chairman Campbell and Vice Chairman Francis concurring, and Commissioner Skrmetta opposing, the Commission voted to accept the Uncontested Stipulated Settlement filed into the record on December 1, 2023. The motion passed 4:1.

IT IS THEREFORE ORDERD THAT:

1. The Stipulated Settlement and First Amendment to the Beauregard Solar PPA is in the public interest;
2. The First Amendment, including all terms and conditions, rights, remedies, and limitations set forth therein, is hereby certified and approved;
3. This Order shall have no effect on and does not alter the Full Requirements PSA;
4. This Order does not alter any terms and conditions of the Beauregard Solar PPA other than those specifically altered by the First Amendment;
5. One hundred percent of any Rural Utilities Service ("RUS") grants received by SLEMCO based on the Beauregard Solar Facility will flow directly to SLEMCO members; and
6. All terms and conditions imposed by the Commission in issuing its November 7, 2023 certification Order remain in place.

BY ORDER OF THE COMMISSION
BATON ROUGE, LOUISIANA
January 11, 2024

DISTRICT V
CHAIRMAN FOSTER L. CAMPBELL

DISTRICT IV
VICE CHAIRMAN MIKE FRANCIS

OPPOSED
DISTRICT I
COMMISSIONER ERIC F. SKRMETTA

DISTRICT II
COMMISSIONER CRAIG GREENE

DISTRICT III
COMMISSIONER DAVANTE LEWIS

BRANDON M. FREY
SECRETARY